

ENGLISH **LIVE**

42

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 42

27th MARCH, 2017

Time to Bring in a Tough Privacy Law

The Aadhaar Act is not enough to prevent misuse

Most people love to see fish swim about inside a glass aquarium. Few would enjoy the prospect of trading places with the fish. But that possibility is very much on the cards, with the government making Aadhaar mandatory for an increasing number of functions. The government needs to put in place a strong privacy law, to prevent such piscine transformation of Indians, and to protect their privacy, recognised by anyone sane as a necessary condition of life and liberty. The Aadhaar law has some provisions to prevent its misuse but that is not enough.

Authentication of a person's identity using Aadhaar should be only after securing his/her consent in a fashion that leaves a clear, inviolable record. The technology and protocols required to ensure this would appear to be inadequate. Beyond authentication, the very tagging of an increasing number of activities with Aadhaar paves the way for not just the state playing Big Brother who watches whatever you do but also of private companies seeking to map consumers' behaviour, health, financial status and tastes, to create an information asymmetry prejudicial to not just consumer interest but also individual liberty. The National Health Policy 2017 envisages extensive data gathering on healthcare.

Portability of medical records by storing them in the cloud would be of great use and convenience, no doubt, but if that data can be accessed by people who have no business to, that would be a major problem. It would be worse, if the data is tagged by Aadhaar and the medical data is correlated with financial data also tagged by Aadhaar. Since payments above a limit would need the income-tax department's Permanent Account Number (PAN) card to be shown and since PAN has to be mapped to Aadhaar, access to Aadhaar data can potentially lead to access to an individual's payments history.

Then there are online privacy issues unrelated to Aadhaar. The EU has assured its citizens they have the right to be forgotten online. Such a right needs a firm legal basis in India as well. Any law, of course, is only as good as its enforcement.



DISCUSSION ON 27th Mar (Today)

A timely step

State-owned banks, told to submit turnaround plans, should strive to address their NPAs

The Finance Ministry's unequivocal missive to 10 state-owned lenders to submit time-bound turnaround plans, or forsake any further capital infusion from the government, is a small yet timely step in the right direction. As the Reserve Bank of India had flagged in its last Financial Stability Report, risks to the banking sector remain worryingly "high". The continuous deterioration in asset quality, especially at the public sector banks (PSBs), has led to low profitability and substantial value erosion to the principal shareholder – the government. As the RBI's report pointed out, PSBs saw the proportion of their gross non-performing assets to total advances almost double in the 12 months through September 2016 to 11.8%. That the Ministry has identified 10 of these PSBs to administer a dose of tough love suggests they are the ones most in need of urgent corrective action. In fact, RBI Deputy Governor Viral Acharya told bankers in a speech last month that the problem of bad loans has come to such a pass that, "we simply don't as a society have any excuse or moral liberty to let the banking sector wounds fester and result in amputation of healthier parts of the economy." This is because commercial lenders have a central role in the economy, by serving to harness public savings and directing the flow of crucial credit to the most productive industrial and infrastructure sectors. And when PSBs, with their revolving door top managements, have little incentive or accountability to redress the burgeoning imbalance in their balance sheets, it is time the largest shareholder delivers an ultimatum: shape up or be prepared to face the consequences.

That the Centre has chosen to include the employees' unions in the proposed MoUs it intends to enter into with the lenders is also indicative of the seriousness with which it is approaching the resolution this time around. Staff, who have been a key element in the growth and development of the sector, have a vested interest in the health of PSBs; the risk of continued failure is closure and job losses. To be sure, the Centre has to work simultaneously in close concert with the banking regulator and the lenders themselves to structure appropriate mechanisms to enable the implementation of the turnaround plans, including resolution of the stressed assets. Also, as Mr. Acharya pointed out, the PSB managements would need to be empowered so that "haircuts [writedowns on the value of debt] taken by banks under a feasible plan would be required by government ruling as being acceptable by the vigilance authorities." The stipulation of a three-year time limit for the implementation of the turnaround is also significant as Indian lenders have to meet Basel III capital regulations by March 31, 2019. There is therefore little time to lose, and the government and the banks have their work cut out if India is to avoid the spectre of weak banks having little incentive to lend, and economic activity affected for want of credit.

DISCUSSION ON 28th March (tomorrow)

THE ECONOMIC TIMES

Date : 24th March, 2017

THE HINDU
INDIA'S NATIONAL NEWSPAPER SINCE 1878

Date : 27th March, 2017

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LIVE

The Aadhaar Act is not enough to prevent misuse

- Most people love to see fish swim about inside a glass aquarium. Few would enjoy the prospect of *trading places* with the fish. But that possibility is very much on the cards, with the government making Aadhaar *mandatory* for an increasing number of functions.
- The government needs to put in place a strong privacy law, to prevent such *piscine* transformation of Indians, and to protect their privacy, recognised by anyone *sane* as a necessary condition of life and liberty. The Aadhaar law has some provisions to prevent its misuse but that is not enough.
- *Authentication* of a person's identity using Aadhaar should be only after securing his/her consent in a fashion that leaves a clear, *inviolable* record. The technology and protocols required to ensure this would appear to be inadequate.
- Beyond authentication, the very tagging of an increasing number of activities with Aadhaar *paves the way* for not just the state playing *Big Brother* who watches whatever you do but also of private companies seeking to map consumers' behaviour, health, financial status and tastes, to create an information *asymmetry prejudicial* to not just consumer interest but also individual liberty. The National Health Policy 2017 *envisages* extensive data gathering on healthcare.
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AADHAAR ACT, 2016



- ✓ Expenditure for the nationwide Aadhaar is to be incurred from the Consolidated Fund of India.
- ✓ It provides for the **establishment of UIDAI**.
- ✓ UIDAI will ensure the **security, confidentiality and protection of identity information**.
- ✓ It protects the biometric information collected, created and stored in electronic form.

- ✓ Supreme Court previously raised concerns about **Aadhaar with regard to privacy issues**.
- ✓ SC restricted the use of Aadhaar for some areas only, until a Constitution Bench delivers its verdict.
- ✓ As per the provisions of the Bill, **it cannot confer right of or proof of citizenship / domicile**.

SECTION - 7

Proof of Aadhaar is necessary for “Receipt of certain subsidies, benefits and services”

Similarly there are provisions under other sections, which prohibits any official from revealing the data repository to anyone

**EXCEPTIONS FOR “DATA PROTECTION”****SECTION 29(4)**

No Aadhaar number or biometric information will be made public “except for the purposes as may be specified by the regulations”

SECTION 33

The confidentiality clause can be violated, if it concerns “national security”, and the direction has to come from an official, who is not below the rank of a Joint Secretary to the Govt.

Supreme Court expressed concerns about privacy issues. The main concern is with regard to “data protection”



RBI recently allowed the use of OTP in eKYC process for account opening.



UIDAI

Unique Identification Authority of India

- Financial institutions/ banks can now use Aadhaar eKYC process and One Time Password generated by UIDAI on their mobile phones to complete e-KYC process electronically.
- OTP based Aadhaar eKYC process is a mobile-based paperless and presence-less solution.
- This can be used to open term loan accounts of up to Rs. 60,000 or deposit accounts up to Rs. 1 lakh a year.
- This OTP-based process is to be completed with Customer Due Diligence (CDD) procedure within a year.

The Unique Identification Authority of India (UIDAI) said that there has been no incident of misuse of Aadhaar biometrics leading to **identity theft and financial loss**. UIDAI is responsible for Aadhar in the country.

SALIENT POINTS



Unique Identification Authority of India
Government of India

- There has been no incident of misuse of Aadhaar biometrics leading to identity theft and financial loss during the past 5 years, when more than 400 crore Aadhaar authentication transactions have been taken-up.
- Recently, a breach of Aadhaar data was reported after UIDAI sent a notice for 3 firms for possible unauthorised authentication attempt and storing of biometric data.
- UIDAI said that this is an isolated case of an employee working with bank's business correspondence company.
- This was detected by the UIDAI internal security system.
- UIDAI uses one of the world's most advanced encryption technologies in transmission and storage of data.

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Privacy policy

It fulfils a legal requirement to protect a customer or client's privacy.

Personal information can be anything that can be used to identify an individual.



Trading places with someone

*By requesting my co-passenger,
I **traded places** so as to sit near
the window.*

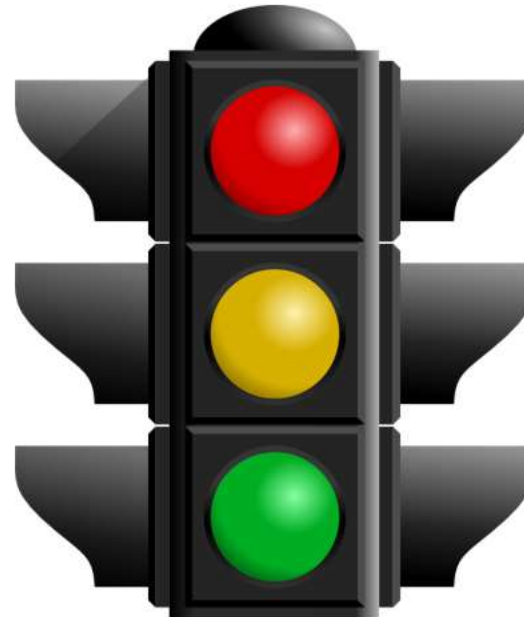


Trading places with someone

To exchange positions / places
with someone

Mandatory

It is **mandatory** to obey
traffic signals



Mandatory

Must be done, because of law of the land

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Piscine

Do you swim in the sea on weekends and go to the *piscine* for special?



Piscine

Relating to, or resembling a fish

Sane

*A **sane** discussion is the need of the hour, to eliminate tuberculosis by 2025.*



Sane

Having a healthy mind and not mentally ill / not mad / reasonable or sensible

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Authentication

Authentication of the citizen's identity assumed significance in view of loan-wolf attacks and terrorism threats globally.



Authentication

Action / process of proving something to be true, genuine, or valid

Inviolable

*As per the Indian Constitution, right to liberty is **inviolable** and sacred right.*



Inviolable

That must be respected / Never to be broken, infringed, or dishonoured.

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Paves the way

*The recent instructions by SEBI will **pave the way** for more retail participation in the capital markets.*



Paves the way

To create the circumstances to enable something to happen

Big Brother

*In our country, in several villages landlords behave like **big brothers** and this undermines democratically developed Panchayati Raj institutions in rural areas.*



Big Brother

A person or organization exercising total control over people's lives.

Asymmetry

To see an obvious example of **asymmetry**, just look at your hands.



Asymmetry

Lack of symmetry/ equality or equivalence between parts or aspects of something

Prejudicial

*The government's aggressive push for digital transactions may sometimes become **prejudicial** to the MSMEs.*

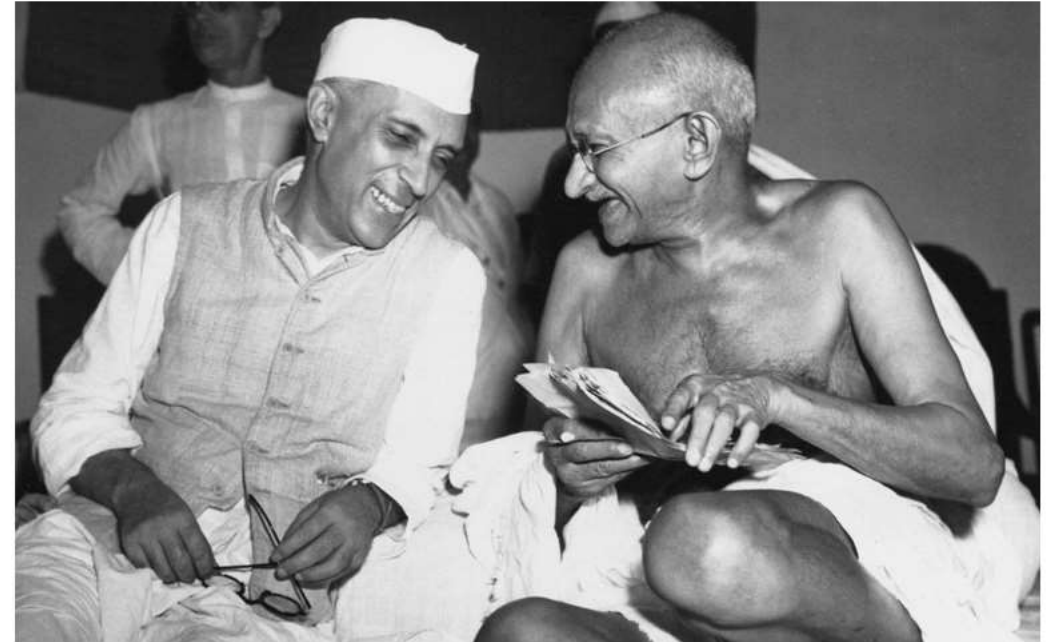


Prejudicial

Harmful to someone or something / detrimental.

Envisages

*We are yet to reach the stage
of eliminating poverty as
envisaged by the founding
fathers of our country.*



Envisages

Contemplate or conceive of as a possibility / a desirable future event.

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Cloud



Cloud



Cloud

A computer network where files and programs can be stored, especially the internet

Potentially

*It is **potentially** dangerous to travel during night time in some areas of Detroit.*



Potentially

Possibility that something might happen / possibility of becoming actual

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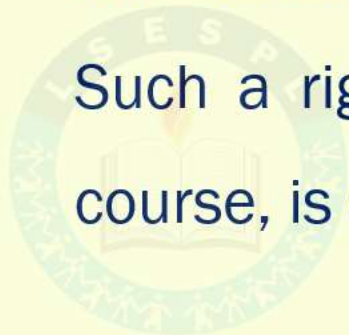
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LEARNING / SPACE

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LEARNING / SPACE

...Transforming Human Lives

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